

THE RULE OF 72

Have you ever wondered what it would take (and how long) for your money to double? I definitely wondered in my early investing days, especially after seeing a ton of “double your money!” ads on the web (scams), on local posters (more scams), and today on various social media platforms (scams on scams on scams). Well scams aside, there is a legit way to *potentially* double your money and also to determine how long it could take. Let me introduce you to the cool rule of 72.

What is the rule of 72?

The rule of 72 is essentially a rule (or an investing magic trick) that can help you estimate how soon your investment will double based on a fixed annual interest rate (hence my use of the word *potentially*, since we can't predict future interest rates).

To determine this, all you need to do is divide the number 72 by the number of the annual interest rate of your investment (or average annual interest rate). This will give you a rough idea of when your investment will be worth twice as much as it's worth today. This table illustrates examples of various interest rates and timeframes:

Rate of Return	Approximate Time to Double with the Rule of 72
2%	36 years
3%	24 years
5%	14.4 years
7%	10.3 years
9%	8 years
12%	6 years
25%	2.9 years
50%	1.4 years
72%	1 year

Based on this table, if you invest a onetime sum of \$5,000 that you don't touch at a fixed annual interest rate of 5%, it would take 14.4 years for your